

Insurance

Industry Size

₹7.05 lakh cr

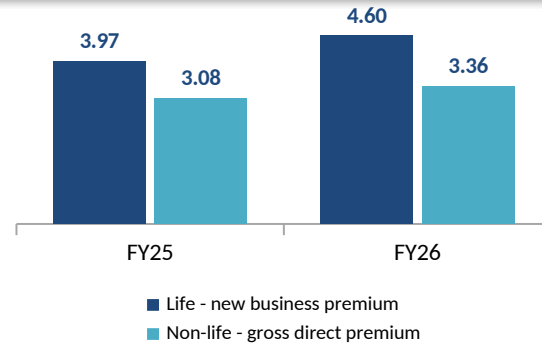
Total premium income, FY25 (US\$ 82.5 Bn)

FY26 flows: life new business premium **₹4.60 lakh cr (+15.7%)** and non-life gross premium **₹3.36 lakh cr (+9.3%)** (Source) (2)

Penetration is **3.7%** of GDP (life 2.7%, non-life 1.0%) against a global average near 7% (Source)

Density is only **US\$ 97** of premium per person; 74 insurers serve 1.4 Bn people (Source)

Industry Growth



+15.7%
Life new business premium growth, FY26

+9.3%
Non-life gross premium growth, FY26

8-11%
CareEdge growth forecast for life, FY27

62%
Share of new premium from Tier-3 towns, FY25

Premium figures in ₹ lakh crore. The FY26 surge is policy-driven: GST on individual life and health premiums was scrapped from 22 September 2025 (Source) (2)

FY26 was a rebound year, not a new run rate. Life new business premium crossed ₹4 trillion for the first time and health premiums grew 15.4%, but both were flattered by the GST exemption pulling demand forward — CareEdge expects life growth to settle at **8-11% in FY27**, and the sector's own outlook is for growth to cool (Source) (2)

Key Players & Market Share

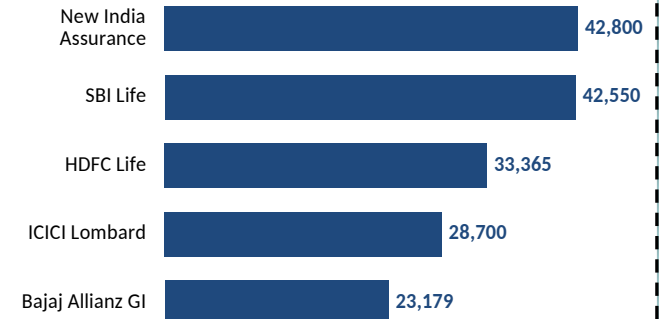
56.6%

LIC share of life new business premium, FY26

43.4%

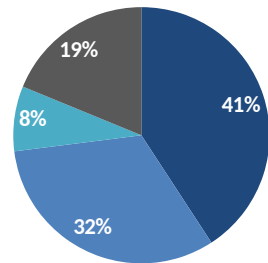
25 private life insurers share the rest

FY26 premium, leading insurers (₹ Cr)



Life insurers shown at new business premium, non-life at gross direct premium; LIC is excluded from the bar chart at ₹2.60 lakh crore (Source) (2)

Business Model & Industry Mix



■ Health ■ Motor
■ Fire ■ Crop & others

Health overtook motor to become the largest non-life line, at 40.8% of gross premium in FY26 from 38.6% in FY25 (Source)

Life — long-duration savings & protection

Premiums are invested for decades; profit is booked as value of new business plus the spread on a large investment book. Judged on APE, VNB margin, persistency and embedded value. (Source)

General — annual risk transfer plus float

One-year renewable contracts in motor, fire, marine and liability. Underwriting is often loss-making; the money is made investing the float. Judged on the combined ratio. (Source)

Standalone health — retail, high-touch

Star Health, Niva Bupa and Care sell mostly retail cover through agents, carrying high acquisition costs but the best pricing power. Star ran a 98.8% combined ratio in FY26. (Source)

Distribution & reinsurance

Agency, bancassurance, brokers and web aggregators such as PolicyBazaar sit between insurer and customer; GIC Re and the new Jio-Allianz venture carry the tail risk. (Source)

Sector split: life dominates, at roughly three-quarters of total premium. Ownership runs the other way in each half — one public insurer holds 56.6% of life new business, while private insurers hold 65.4% of non-life gross premium and are expected to reach 70% by FY27 (Source)

Where the growth is: Tier-3 towns supplied 62% of new premium in FY25 with life policies growing over 60%; 39.1 crore policies were issued in FY25 against 33.6 crore in FY24 (Source)

▪ **Life is a one-firm market with a competitive fringe:** LIC holds 56.6% of new business premium; the 25 private insurers split the other 43.4%, led by SBI Life, HDFC Life and ICICI Prudential (Source)

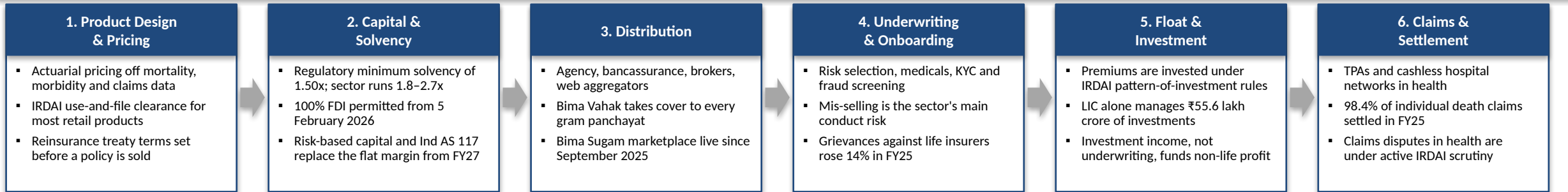
▪ **Non-life is the mirror image — fragmented and private-led:** New India Assurance leads with only a 13% share, ICICI Lombard has 9% and Bajaj Allianz 7%; private insurers now write 65.4% of gross premium (Source) (2)

▪ **Standalone health insurers punch above their weight,** writing nearly a third of all health premium; Star Health alone booked ₹18,435 Cr against New India's ₹21,532 Cr (Source)

▪ **New capital is arriving at the top:** Bajaj bought out Allianz's 26% for ₹24,180 Cr, and Jio Financial and Allianz have formed a 50:50 reinsurance venture (Source)

Insurance

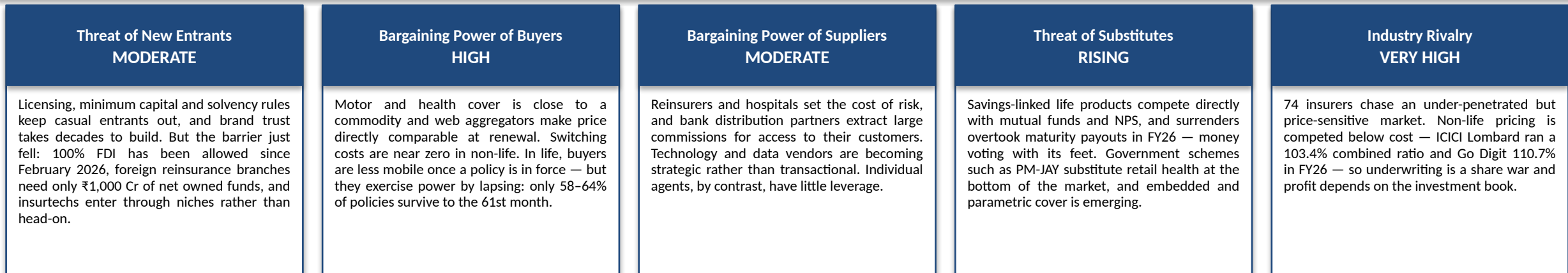
Value Chain & Supply Chain



Supply-chain reality: an insurer's inputs are capital, risk capacity and access to customers. Reinsurance is concentrated with GIC Re and a handful of global reinsurers, and the net-owned-fund threshold for foreign reinsurance branches has just been cut from ₹5,000 Cr to ₹1,000 Cr to widen that capacity [\(Source\)](#)

The costliest link is distribution. Bank and agency partners command large commissions, and the September 2025 GST exemption removed input tax credit on those costs — a 200–300 bps hit to FY26 value-of-new-business margins that insurers cannot pass on [\(Source\)](#)

Porter's Five Forces



Net assessment: the demand case is unarguable — 3.7% penetration against a 7% global average — but almost none of that surplus reaches the underwriter. Buyers commoditise price, distributors take the margin, and rivalry pushes non-life pricing below cost. The winners are therefore the insurers with captive distribution and scale in the investment book: LIC, the bank-owned life insurers and the standalone health specialists that hold pricing. 100% FDI adds capital to a market that was never short of it, which should intensify rivalry before it improves returns [\(Source\)](#) [\(2\)](#)

Growth Drivers

- **Under-penetration is the whole thesis** — 3.7% of GDP against a global average near 7%, and density of US\$97 per person; India is expected to be the sixth-largest insurance market within a decade ([Source](#))
- **The GST exemption reset affordability** — individual life and health premiums have been GST-free since 22 September 2025, and life sales rose 21% in October–November 2025 alone ([Source](#))
- **Health cost inflation is pulling retail demand** — health premium grew 15.4% to ₹1.4 lakh crore in FY26 and is now 40.8% of the non-life market, ahead of motor ([Source](#))
- **Bharat is where the policies are being written** — Tier-3 towns produced 62% of new premium in FY25, with life policy count up over 60% and motor up 25.6% ([Source](#))
- **Government schemes create the first insurance experience** — PM-JAY covers ₹5 lakh per family, PMJJBY and PMSBY reached 74.6 crore people by April 2025, and crop applications rose 35% to 10.85 crore ([Source](#))
- **100% FDI unlocks growth capital** — foreign investors can now own Indian insurers outright, which matters in a business where growth consumes solvency capital ([Source](#))
- **Distribution reach is being rebuilt** — Bima Sugam went live in September 2025 and Bima Vahak places a distributor in every gram panchayat ([Source](#))

Emerging Trends

- **The ownership regime has changed** — the Sabka Bima Sabki Raksha Act took effect on 5 February 2026, lifting FDI to 100% and easing intermediary licensing ([Source](#))
- **Accounting and capital rules change together in FY27** — Ind AS 117 spreads profit over the policy term instead of recognising it upfront, while risk-based capital ties solvency to each insurer's actual risk profile ([Source](#))
- **Bima Trinity is rewiring distribution** — Bima Sugam as a common marketplace, Bima Vistaar as a bundled rural cover, Bima Vahak as last-mile distribution ([Source](#))
- **Product mix is shifting away from ULIPs** — towards non-par savings, annuities and protection, which carry higher and more stable margins ([Source](#))
- **Health is being re-underwritten, not just re-priced** — insurers are tightening networks and cashless protocols as IRDAI presses on claim-settlement gaps ([Source](#))
- **Composite licensing remains the unfinished reform** — the 2025 Act stopped short of letting one entity write both life and non-life, a long-standing industry demand ([Source](#))
- **Technology is moving into pricing and claims** — India is the second-largest insurtech market in Asia-Pacific, with AI now used in underwriting, fraud detection and settlement ([Source](#))

Recent Investments / M&A

- **Bajaj bought out Allianz for ₹24,180 Cr (US\$2.83 Bn)**: Allianz SE's entire 26% in Bajaj Allianz General and Bajaj Allianz Life went to the Bajaj Group, taking it from 74% to full ownership — the sector's largest deal ([Source](#))
- **Jio Financial Services and Allianz formed a 50:50 reinsurance venture** in September 2025, bringing a new domestic reinsurer into a market GIC Re has effectively had to itself ([Source](#))
- **Medi Assist acquired Paramount Health Services TPA** outright in February 2026, consolidating the third-party administration layer that sits between health insurers and hospitals ([Source](#))
- **Zurich took 70% of Kotak General Insurance**, the first major foreign inflow into Indian general insurance in eight years and a template for what 100% FDI now permits ([Source](#))
- **A listing pipeline is forming**: nine insurers including HDFC ERGO and SBI General have submitted IPO plans, alongside more than six reinsurance companies ([Source](#))
- **The state remains the largest buyer of cover**: PMFBY and the weather-based crop scheme were extended to FY26 with ₹69,515 Cr (US\$8.06 Bn) committed ([Source](#))
- **Insurtech capital keeps arriving** — 110+ insurtech startups operate in India, which now takes about 35% of Asia-Pacific insurtech venture funding ([Source](#))

Key Business Risks

- **The GST win came with a margin bill** — losing input tax credit costs insurers 200–300 bps of FY26 value-of-new-business margin; HDFC Life absorbed a gross 300 bps hit ([Source](#))
- **Non-life underwriting loses money as standard** — combined ratios of 103.4% at ICICI Lombard and 110.7% at Go Digit mean profit depends on investment income, which is rate-sensitive ([Source](#))
- **Money is leaving faster than it is staying** — surrenders overtook maturity payouts in FY26, and only 58–64% of policies survive to the 61st month ([Source](#))
- **Conduct risk is regulator-flagged** — IRDAI called mis-selling a significant concern, with grievances against life insurers up 14% in FY25 ([Source](#))
- **Health claims are the next battleground** — IRDAI is monitoring settlement gaps; tighter claims conduct would raise loss ratios in the sector's fastest-growing line ([Source](#))
- **FY27 transition risk is real** — Ind AS 117 and risk-based capital land together, changing reported profit and required capital at the same time ([Source](#))
- **Growth is policy-dependent** — FY26's rebound rested on a GST cut and government schemes; the sector's own outlook is for growth to cool in FY27 ([Source](#))

Insurance

Balance Sheet Snapshot

As at 31-Mar-2026 (₹ Cr)

Company	Net worth	Investments	Total assets	Solvency
LIC	1,76,605	55,56,359	59,48,556	2.35x
SBI Life	19,086	4,86,367	5,00,046	1.90x
HDFC Life	17,696	3,73,089	3,90,019	1.77x
ICICI Pru Life	15,533	3,07,369	3,19,735	2.27x
ICICI Lombard	16,633	58,338	76,111	2.67x
Star Health	9,578	21,008	23,619	2.05x

Balance sheets from Screener.in — LIC · SBI Life · HDFC Life · ICICI Pru · ICICI Lombard · Star Health; solvency from company results (Source)

- **An insurer's balance sheet is almost entirely other people's money.** LIC holds ₹59.5 lakh crore of assets against ₹1.77 lakh crore of net worth — policyholder liabilities are the other 97%. (Source)
- **Investments are the business, not a by-product.** Across all six insurers the investment book is 88–93% of total assets, and it is what turns a loss-making underwriting line into a profitable company. (Source)
- **Solvency is the binding constraint on growth.** Every insurer clears the 1.50x regulatory floor, but HDFC Life at 1.77x had to approve a ₹1,000 Cr preferential issue to its parent bank to keep writing new business. (Source)
- **Scale in life is measured in decades, not years.** SBI Life manages ₹4.87 lakh crore and HDFC Life ₹5.3 lakh crore of group assets — books built one 20-year policy at a time. (Source)
- **Non-life balance sheets are an order of magnitude smaller.** ICICI Lombard's ₹76,111 Cr of assets against ₹26,994 Cr of annual revenue reflects one-year contracts: the float turns over instead of compounding. (Source)
- **From FY27 the yardstick changes.** Risk-based capital replaces the flat 150% solvency margin, so capital requirements will track each insurer's actual risk mix rather than a uniform rule. (Source)

Financial Snapshot & Valuation

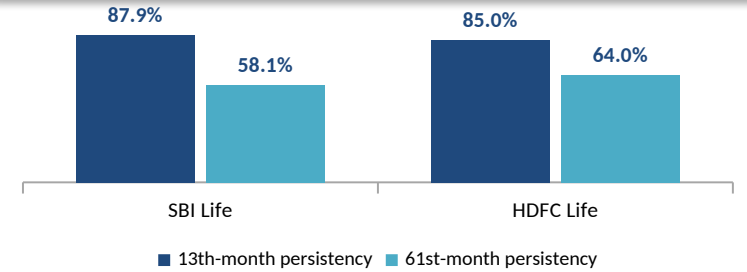
FY26 results; market data as of 31-Jul-2026

Company	Revenue (₹ Cr)	PAT (₹ Cr)	Key margin	M-cap (₹ Cr)	P/E	ROE
LIC	9,77,772	57,418	VNB +42%	5,37,436	9.4	37.8%
SBI Life	1,12,315	2,470	VNB 26.6%	1,88,874	72.6	13.7%
HDFC Life	98,968	1,910	VNB 24.2%	1,19,171	60.3	11.3%
ICICI Pru Life	63,467	1,600	VNB 24.7%	74,811	44.4	10.0%
ICICI Lombard	26,994	2,772	CoR 103.4%	81,083	33.4	16.6%
Star Health	17,825	911*	CoR 98.8%	35,449	42.0	6.7%

*Star Health reports under Ind AS from FY26; its ₹911 Cr is not directly comparable with the IGAAP figures above. SBI Life's VNB margin is Q3 FY26. Sources: LIC · SBI Life · HDFC Life · ICICI Pru · ICICI Lombard · Star Health; multiples from Screener.in

- **LIC is the anomaly the sector is priced against.** ₹57,418 Cr of profit at 9.4x earnings and 37.8% ROE, against private life insurers earning a tenth as much at 44–73x. (Source)
- **Private life valuations rest on embedded value, not earnings.** Reported profit is suppressed because new business is expensed upfront while the margin emerges over 20 years — which is precisely what Ind AS 117 will change. (Source)
- **Margins held despite the GST shock.** ICICI Prudential's VNB margin rose to 24.7% and HDFC Life held 24.2%, offsetting the input-tax-credit loss with a richer protection mix. (Source)
- **General insurance earns its return on the float.** ICICI Lombard made ₹2,772 Cr and a 16.6% ROE while writing at a 103.4% combined ratio — a ₹3 underwriting loss per ₹100 of premium, more than recovered on investments. (Source)
- **Health underwriting has genuinely turned.** Star Health cut its combined ratio to 98.8% from 101.1% and grew profit 16%, the first sustained underwriting profit in retail health. (Source)
- **Return on equity is the sector's weak point.** Excluding LIC, none of the listed insurers earns more than a 16.6% ROE, and the life insurers sit at 10–14% while trading above 40x earnings. (Source)

Unit Economics — Life



- **A life policy only pays if it persists.** Roughly 86–88% of policies survive the first year, but only 58–64% reach the fifth — and acquisition cost is spent upfront, so early lapses destroy the economics (Source)
- **Margin on new business is 24–27%:** SBI Life 26.6%, ICICI Prudential 24.7%, HDFC Life 24.2% — after a 200–300 bps hit from the loss of GST input tax credit (Source)
- **The promise is kept at the end:** 98.4% of individual death claims were settled in FY25, up from 97.8% — the industry's strongest trust metric (Source)

Unit Economics — Non-Life Combined Ratio

Cost of every ₹100 of premium earned, FY26

Insurer	Loss ratio	Combined ratio FY26	FY25
Star Health	68.7%	98.8%	101.1%
ICICI Lombard	70.8%	103.4%	n.a.
Go Digit	72.9%	110.7%	109.3%
Breakeven	—	100.0%	—

- **Above 100 means the insurer pays out more in claims and expenses than it collects.** Only Star Health underwrote at a profit in FY26; ICICI Lombard lost ₹3.40 and Go Digit ₹10.70 on every ₹100 of premium (Source) (2)
- They still make money because premium is collected upfront and claims are paid later — the float is invested in the meantime. ICICI Lombard turned a 103.4% combined ratio into ₹2,772 Cr of profit and a 16.6% ROE (Source)
- **Expense, not claims, is the swing factor:** Star Health's 30.1% expense ratio sits on top of a 68.7% loss ratio (Source)